REPUBLIC OF KENYA

Money Laundering National Risk Assessment Guidance

February 2025

ML THREAT

Key Proceeds Generating Predicate Offences

DOMESTIC ML THREAT

The predicate crimes generating highest proceeds in Kenya are corruption and economic crimes, fraud / forgery and tax related crimes

ML THREAT FROM FOREIGN PREDICATES

Threat from the offences committed in foreign jurisdiction but with the proceeds laundered in Kenya is considered Medium Low

CROSS-BORDER ML THREAT

The overall cross-border ML threat for Kenya is rated Medium, with a potential of increase in the future. It manifests itself through trade based ML and remittance of funds

Money Laundering Threats in Kenya

PURPOSE AND APPLICATION OF THE GUIDANCE

Several money laundering (ML) related risk assessments, including the money laundering national risk assessment, virtual assets (VAs) and virtual assets service providers (VASPs) risk assessment, legal persons and legal arrangements risk assessment, Central Bank of Kenya licensees' sectoral risk assessments, tax crimes risk assessment and Capital Markets Authority licensees' risk assessments were conducted in 2023. The assessments were intended to improve the understanding of ML risks in the country.

However, these risk assessments were conducted simultaneously by distinct teams using different approaches. As such, the outcomes and recommendations were apparently not harmonized to seamlessly guide mitigation process in the country. This Guidance is therefore, necessary to ensure consistent communication of the results from the ML risk assessments so that the users, implementers and members of the public are enabled to have clear understanding of the outcomes and context of the ML risks in the country.

The objective of the ML Risk Assessment Guidance, 2025 is therefore, to provide a concise document for seamless anti-money laundering (AML) outreach, sensitization and creation of awareness for all the categories of the reporting institutions, supervisory and regulatory bodies, law enforcement as well as competent authorities. In this regard, whilst the Guidance is a summary document, the content still has sufficient detail for the target audience to understand the ML risk profile for Kenya.

ENFORCEABILITY OF THE GUIDANCE

The Guidance shall be enforced in line with the following provisions of regulation *20(2), (3)* and *(4)* of the Proceeds of Crime and Anti-Money Laundering Regulations, 2023: -

2) *Where higher risks are identified, either at national, sectoral or institutional level, a reporting institution shall address such risks through—*
   a) *applying enhanced measures to manage and mitigate the identified risks; or*
   b) *ensure that this information is incorporated into its risk assessments.*

3) *Where it is determined that a beneficiary who is a legal person or a legal arrangement presents a higher risk, a reporting institution shall take enhanced measures including taking reasonable measures to identify and verify the identity of the beneficial owner of the beneficiary, at the time of payout.*

4) *A reporting institution shall perform enhanced due diligence where the money laundering and terrorism financing risks are higher.*

FOREWORD

The February 2024 Post-Observation Period Report (POPR) for Kenya covered September 2022 – October 2023. This followed publication of the second Mutual Evaluation Report (MER) for Kenya by the Eastern and Southern Africa Anti-Money Laundering Group (ESAAMLG) in September 2022. During this period, the country doubled its effort to address the Recommendations of the MER. Key among them was the need to broaden the understanding of money laundering and terrorism financing (ML/TF) risks facing the country by incorporating salient risk elements, factors and sectors, including those relating to virtual assets, legal structures, legal arrangements, among others, in the ML/TF national risk assessments.

In this regard, and in order to improve the understanding of ML/TF risks in the country at both national and sectoral levels as recommended by the MER, the country conducted the following risk assessments:- the money laundering national risk assessment, virtual assets (VAs) and virtual assets service providers (VASPs) risk assessment, legal persons and legal arrangements risk assessment, Central Bank of Kenya licensees' sectoral risk assessments, tax crimes risk assessment, non-profit organizations (NPOs) risk assessment and Capital Markets Authority licensees' risk assessment.

The responsible FATF's Joint Review Group verdict on the 2024 POPR was that Kenya conducted a number of risk assessments, both at the national and sectoral levels, simultaneously in 2023. As such, the outcomes and recommendations of the risk assessments were apparently not harmonized to seamlessly guide mitigation process in the country. This observation could have resulted from the fact that the risk assessments were conducted by distinct working groups who possibly faced limited time to cross-check and effectively reconcile the outcomes.

Consequently, and as part of the International Corporation Review Group (ICRG) follow-up process, Kenya agreed to implement a 15 Item Action Plan (replete with sub-items) with the FATF. Among these, Item 2 require Kenya to; "*Produce guidance compiling and presenting the results of the NRA and other risk assessments in a consistent manner and, using this guidance, conduct sensitization activities for competent authorities and the private sector*".

To improve the anti-money laundering (AML) landscape in the country and to fully address the prevailing Action Items under the ICRG process, it is necessary to ensure that the results and recommendations of all the money laundering related risk assessments are communicated in a consistent manner. The objective is to also ensure that the implementers of risk outcomes and members of the public have a clear understanding of the findings and context of ML risks in the country. Timeous implementation of Item 2 of the Kenya's Action Plan with FATF is also crucial to enable Kenya exit the ICRG increased monitoring and follow-up process.

Based on the foregoing, Kenya has developed this Money Laundering National Risk Assessment Guidance, 2025 by drawing together the summaries of all the ML risk assessments conducted at both sectoral and national levels. Specifically, this guidance document sought to harmonize all the ML-related risk assessments by ensuring consistencies in the flow, language, results and recommendations, in line with the National Strategy for Combating Money Laundering, 2024-2027.

I would like to express my gratitude to the Cabinet Secretary for the National Treasury and Economic Planning for the steady AML policy as well as guidance, and the NTF for the conducive forum as well as platform for AML/CFT/CPF dialogue and information sharing. I would also like to thank the World Bank for availing the risk assessment tool and methodology for our use. Finally, I thank the Risk Assessments Consolidation Working Group (RACWG) participating institutions and personnel from both the public and private sectors for their, time, commitment, dedication and effort which has enabled us to successfully summarize, compile, harmonize and present the results of the money laundering risk assessments in a consistent manner, and for producing the Money Laundering National Risk Assessment Guidance, 2025, to assist all the responsible agencies and institutions, including the private sector to effectively implement the outcomes of ML risk assessments in the country.

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The overall ML risk is Medium Low. The ML threat is Medium Low, vulnerability Medium, while the mitigating controls are assessed as Low

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the ML risks ratings vary according to the specific sector. Lawyers and real estate agency sector are High ML risks, while accountants and TCSPs have Medium High. Casinos and DPMS are Medium

1.0 NATIONAL MONEY LAUNDERING RISK

1.1 Money Laundering Threats

The overall ML threat for Kenya is assessed as ***Medium High***. Generally, money laundering (ML) in Kenya is both complex in scale, settings and diversity of actors. As indicated in the National Risk Assessment Report 2023 (NRA), the techniques used in generating proceeds for laundering include corruption and economic crimes, fraud, tax-related crimes, trafficking in drugs as well as human beings, wildlife and environmental crimes, trade-based ML, theft, among others.

There are three types of ML, namely, third party ML, stand-alone ML and self-laundering, and all of them manifest in Kenya. Third party money laundering is the laundering of proceeds by a person who was not involved in the commission of the predicate offence. Self-laundering is the laundering of proceeds by a person who was involved in the commission of the predicate offence. Stand-alone (or autonomous) money laundering is not a type of laundering, but rather refers to the prosecution of ML offences independently, without also necessarily prosecuting the predicate offence.

Some of the typical ML typologies entail:

i. Use of cash intensive businesses like filling stations and other cash intensive businesses to disguise ill-gotten wealth.
ii. Procurement fraud and corruption where officials are influenced and/or enticed into flouting the rules and inflating the prices.
iii. Opening accounts and making periodic cash deposits, which do not correspond to an individual's known sources of income. In such incidences, there may be no withdrawal from the accounts despite receiving huge sums of money, which obviates a presumption of innocence.

1.2 Key Proceeds Generating Predicate Offences

1.2.1 Domestic money laundering threat

The key proceeds generating offences between 2021 and 2023 according to the NRA are presented in Table1.

Table 1: Summary of Proceeds Generating Crimes, 2021-2023

S/No.	Predicate offence	Value (USD)
1	Corruption and economic crimes	299,342,484
2	Fraud and forgeries	104,072,668
3	Tax related crimes	87,332,342
4	Money laundering	84,159,577
5	Cyber crimes	6,471,917
6	Drug related offences	5,675,853
7	Human trafficking	3, 154,255
8	Wildlife crimes	1,151,297

Figures presented in Table 1 show that the predicate crimes generating highest proceeds in Kenya are corruption and economic crimes, fraud and forgery and tax related crimes. Accordingly, the ***High-risk*** proceed generating predicate offences are:

i. Corruption and economic crimes e.g. bribery (soliciting and accepting), unexplained wealth, embezzlement of public funds, abuse of office, among others.

ii. Fraud and forgery related offences e.g. obtaining by false pretense, currency forgery, wire fraud, insurance fraud, investment fraud, banking fraud, false accounting, stealing (including stealing by directors, agents).

iii. Tax related crimes e.g. tax evasion, use of power of attorney and nominees, trade-based money laundering, abuse of trusts and company service providers, use of wire transfers and purchase of high-value assets and offences relating to counterfeiting and pirated products.

Medium-risk proceed generating predicate offences are:

i. Money laundering
ii. Drug related offences e.g. including cultivation, trafficking, possession and handling of dangerous drugs.
iii. Environmental and wildlife related crimes e.g. poaching and illegal wildlife trade, killing and destruction of wildlife, illegal possession of wildlife and the illegal trade in waste polluting products, illegal logging
iv. Cybercrimes for instance, unauthorized access to computer systems, computer fraud and forgeries, cyber-squatting, cyber harassment, identity theft, impersonation wire and card fraud, extortion among others.
v. Human trafficking and smuggling of persons.

Holistically however, the level of ML threat from domestic proceeds is projected as ***Medium High***, because most of the key predicates presenting high risk to Kenya are from offences that do not have linkages with transnational organized crimes.

1.2.2 Money laundering threat from foreign predicates

The ML threat from the offences committed in foreign jurisdiction but with the proceeds laundered in Kenya is considered ***Medium Low.*** These offences include money laundering (both self, third party and standalone), fraud, corruption, tax-related crimes, drug trafficking, bribery, theft, human trafficking and smuggling of persons, wildlife and environmental crimes as well as cybercrime.

1.2.3 Cross-border money laundering threat

Kenya shares borders with five countries and is a major sea trading route, has strong trade ties with several countries and serves as a regional financial hub. All these factors can potentially enhance cross-border ML threat[1] by facilitating concealment, disguising or comingling of funds. The overall cross-border ML threat for Kenya is rated ***Medium***, with a potential of increase in the future. Cross border threat manifests itself through trade based money laundering and remittance of funds. The countries that pose high

[1] A "foreign predicate offence" refers to a criminal act that occurs in another country, which then generates proceeds that are laundered within your own jurisdiction, while a "cross border threat" encompasses any criminal activity that spans multiple national borders, including the movement of illicit funds from the crime's origin to another country for laundering or other criminal purposes; essentially, a foreign predicate offence is a specific type of cross-border threat where the crime itself happens overseas but the money laundering occurs domestically.

cross-border ML risk to Kenya include UAE, Mauritius, Tanzania, Uganda, Somalia, South Sudan, Nigeria, Democratic Republic of Congo, USA and Poland.

1.3 National Money Laundering Vulnerability

National vulnerability assesses the overall exposure to ML, which comes from the national combating ability as well as the vulnerability of the different sectors of the economy. The national ML vulnerability for Kenya is assessed as ***Medium High.*** The national ML vulnerability rating improved slightly (in terms of magnitude) from the NRA assessment, but the overall rating still remained unchanged. Specifically, the combating ability of the country improved due to, among others, effective implementation of the 2021-2026 National AML/CFT/CPF Strategy as well as the implementation of the Recommended Actions contained in the MER for Kenya.

Given that both the national ML threat and vulnerability are assessed as Medium High, the national ML risk for the country is therefore, assessed as ***Medium High***.

2.0 SECTORAL MONEY LAUNDERING RISKS

2.1 Banking Sector

The banking sector, comprising commercial and microfinance banks, is central in Kenya's financial and economic activities. The threat of ML in the banking sector is considered ***High*** with a likelihood of increasing, and is the sector most likely to be abused for ML. This can be attributed to financial inclusivity, which has led to majority of Kenyans transacting through the banking system and the fact that nearly all mega and cross-border transactions in the country are facilitated through banks.

The overall ML risk in the banking sector is ***Medium High.*** The ML threat is rated ***High*** as per the specific inherent vulnerability indicators described in Table 4. Inherent vulnerability is also rated ***High,*** while the mitigating controls are assessed as ***Medium High***.

Table 2: ML Risks Factors in the Banking Sector

Risk Type	Description of Inherent Risk	Emerging Trends
Customer	High-risk exposures via: - PEPs and Cash-intensive businesses (e.g. motor vehicle dealers) - Non-resident persons - Legal structures and beneficial ownership concealment. (*re: case 4*) - Cross-border layering using digital assets. - Incorrect client risk rating, incomplete CDD information and beneficial ownership challenges.	- Growing influence of finTechs in digital payments hence increased risks on KYC/EDD validation. - Use of intermediaries (e.g. lawyers) to obscure source of funds and beneficial ownership. - Increased use of crypto mixers for anonymity and laundering funds.
Product	Large value/volume transaction facilitation attractive for ML purposes via: - Current accounts - Wire transfers (domestic and international) - Credit products serving high-risk sectors (e.g. real estate)	- Increased non face-to-face transactions via online banking and mobile platforms. (*re: cases 7 - 11*) - Complex financial instruments increasing difficulty in tracking illicit funds. - Rising use of crypto-related transactions masked to mimic standard banking transactions.
Delivery Channel	Automated and other non-face-to-face delivery channels easing placement and layering via: - Online banking - Mobile banking - Automated Teller Machines (ATMs) and Cash Deposit Machines (CDMs).	- Expansion of agency banking and mobile wallet solutions, with increased risk of impersonation and identity fraud. (*re: cases 7 - 11*) - Sim card fraud and unauthorized mobile integration that enhance anonymity risks.
Geographic	Jurisdiction Risks arising from: - Banks operating in jurisdictions with weak AML/CFT frameworks.	- Increased regional banking expansion into high-risk jurisdictions such as Somalia and South Sudan.

	- Complex international trade transactions with unclear beneficial ownership and exposure to high-risk and/or sanctioned counterparties.	- Use of offshore accounts and access to tax havens resulting in higher ML risk exposure.
Cross-Border	Transnational and Trade-Based Money Laundering (TBML) risks via: - High volume cross-border remittances and trade transactions (mis-invoicing and over-/under-invoicing). ***(re: case 1)*** - Inadequate understanding of TBML risk exposure via high-risk jurisdictions.	- Growth in diaspora remittances with layering opportunities via third-party intermediaries. **(***re: case 11***)**

Table 3: ML Threats' Manifestation in Banking Sector

What	Who	How	Where/When
Concealment of illicit funds (Domestic and Cross-border)	• High-net-worth individuals (HNWIs). • PEPs. • Organized crime syndicates. • Corrupt officials. • Rogue employees. • Agents. • Transaction Intermediaries	• Structuring through shell /fictitious companies and/or multiple accounts. **(***re: cases 4-6***)** • Trade-based money laundering (TBML) activities, e.g. fraudulent invoicing **(***re: case 4***).** • Wire transfers via correspondent banks. • Fraudulent documentation via intermediaries and agents. • Public Procurement fraud. • Bypassing KYC/AML checks, esp. for high-risk customers. • Use of illicit funds to purchase property directly or via intermediaries. • Use of property financing to mask origin of illicit funds used to settle debts. • Commingling illicit funds in cash-intensive businesses	• Offshore accounts and tax havens (continual). • Bank Branches and Channels (esp. for high-cash activities (e.g. elections and large procurement projects). • Extended activities via regional subsidiaries and/or links to offshore accounts (continual). • Use of other financial intermediaries to obscure transaction sources and purpose (e.g. correspondent accounts and forex bureaus). • Large-scale, high-end and/or multiple real estate projects in populous cities.
Legitimizing proceeds of crime	• Tender-preneurs • Fraudsters. • Hackers. • Organised cyber-fraud syndicates. • Rogue employees.	- Account takeovers via identity theft. - SIM swap fraud. - Fraudulent applications using forged documents. - Phishing. - Theft from customer accounts. - Rapid peer-to-peer transfers.	- Bank Branches. - Online banking. - Mobile banking **(***re: cases 7 - 11).* - Agency banking.

Table 4: Banking Sector ML Vulnerability Exposure

Sector	Sub-Sector	Vulnerability	Vulnerability Contributors	Mitigation Measures
Banking	Large Commercial Banks	High	• Dominant share of market and transaction volumes. • High-value transactions and cross-border payments. • Exposure to correspondent banking and offshore accounts. • Involvement in trade finance, which is vulnerable to TBML. • Higher levels of complexity of transaction channels / service points. • Higher instances of branch network, including regionally and in jurisdictions that may have weaker AML controls and/or bordering conflict zones. • Inadequate controls creating loopholes for ML activity. • Fraudulent approval of transactions. • Lack of adequate sanctions and transaction monitoring systems.	• Enhanced due diligence (EDD) for high-risk customers and transactions. • Enhanced AML transaction monitoring systems. • Regular staff training on emerging risks. • Independent audits to ascertain level of compliance and gaps to be addressed. • Best effort standardization of AML practices across all business channels, regardless of jurisdiction. • Enhanced risk assessments covering diverse transaction channels and geographic risk.
	Medium and Small Commercial Banks	Medium-High	• Lower share of market and transaction volumes. • Limited AML resources and oversight. • Higher reliance on physical cash transactions. • Lower levels of complexity of transaction channels / service points. • Lower instances of branch network, including regionally and in jurisdictions that may have weaker AML controls and/or bordering conflict zones. • Higher exposure to fraudulent customer applications. • Inadequate training on ML typologies and related control measures • Lack of adequate sanctions and transaction monitoring systems.	• Capacity building for AML/CFT compliance. • Enhanced KYC/CDD procedures and supporting systems. • Increased regulatory supervision and audit assessments. • Improvement of screening and transaction monitoring systems
	Microfinance Banks (MFBs)	Medium	• Small share of market and transaction values/volumes. • High cash intensity in transactions. • Vulnerability to identity fraud and fraudulent applications. • Higher exposure to digital fraud via mobile banking transactions.	• Adoption of biometric verification for transaction processing. • Enhanced fraud detection systems and risk-based AML controls.

			• Inadequate training on ML typologies and related control measures • Lack of adequate sanctions and transaction monitoring systems.	• Increased regulatory supervision and audit assessments • Training and awareness on ML typologies and AML preventive measures • Improvement of screening and transaction monitoring systems

2.2 Securities Sector

The Securities sector in Kenya is regulated by the Capital Markets Authority (CMA). The sector is well developed and regulated with sophisticated range of products such as equities, bonds, derivatives, real estate investment trusts (REITs), collective investments schemes, asset-backed securities, and online forex trading.

The overall ML risk of the securities sector is ***Medium.*** The threat of ML in the sector is rated ***Low,*** while the ML vulnerability rating is ***Medium.***

Table 5: Nature of Securities' Sector ML Risks

Risk Type	Description of Inherent Risk	Emerging Risks
Product risk	• There is a diverse range of products trading which increases avenues for ML • Fixed income markets trading in significant volumes compared to other products e.g. government bonds • Conversion into liquid assets with high transaction volumes	• Prevalence of virtual assets • Crowdfunding and tokenization of assets
Customer risk	• High turnover in the equity market due to foreign investors, institutional players and local high net worth investors • Through nominee accounts that can avoid identification procedures and mask the origin of money • Pooling of funds through CIS and REITs making it difficult to single out suspicious transaction • Non-face-to-face client onboarding	Innovative technologies around client onboarding
Delivery channels	Non-face-to-face transactions through online platforms	Innovative technologies in distribution of products
Geographic risk	• High net worth clients from high-risk jurisdictions • Foreign institutional clients investing in local equities	

Table 6: ML Threat Manifestation in Securities

What	Who	How
Layering of illicit funds	PEPs High-net-worth individuals (HNIs) Corrupt officials	• Large volume transactions • Use of diverse instruments to layer and disguise origin of funds through online forex traders, fund managers and investment banks
Pooling of illicit funds	PEPs High-net-worth individuals (HNIs	Through products such as CIS(s), REITs and mutual funds
Anonymity through layered accounts	High-net-worth individuals (HNIs	Through nominee accounts, omnibus accounts and pooled products
High Volume Transactions of Liquid securities	PEPs High-net-worth individuals (HNIs	Transfer of funds through the equities market

Table 7: ML Vulnerability Exposures by Licensee Category

Sector	Vulnerability	Justification	Mitigating Controls
Non-Dealing Online Foreign Exchange Brokers	High	• Lapses in CDD, EDD, BO, PEPs and STR and SAR reporting • Ease of entry and exit • Anonymity provided through online forex transactions can be attractive for money laundering • Large number of trades transacted • Inadequate suspicious transactions and activities systems • Engaging with customers from high-risk jurisdictions	• Frequent engagement on ML/TF Risk with our licensees • Effective and Comprehensive AML Legal framework - POCAMLA Regulations and CMA AML Guidelines • Conduct AML Risk-Based Supervisions by CMA • Enforcement of Administrative Sanctions under the CMA Act and violations of AML/CFT obligations. Sanctions are enforceable to both security firms and individual members of management. • Effective Entry Controls on licensing and approval of new entities in the securities sector
Investment Banks	Medium	• Insufficient risk mitigation measures and assessment policies • Inadequate CDD and EDD measures • Dealing with PEPs, HNW investors and foreign customers • High Value transactions	
Stockbrokers	Medium	• Use of Nominee accounts and omnibus accounts • Dealing with many foreign customers • Use of agents • Use of online and mobile platform transactions	

Fund Managers/Asset Managers	Medium	• Lapses in CDD, EDD, BO, PEPs and STR reporting • Large assets under management • High number of PEPs transactions •Inadequate systems to monitor suspicious transactions and activities • High net worth clients	• Employee screening before onboarding to security firms and thorough fit and proper assessments by CMA • Sensitization on ML/TF
Online Foreign Exchange Money Managers	Medium	• Lapses in CDD, EDD, BO, PEPs and STR reporting •Insufficient monitoring of suspicious transactions • Lack of independent testing of AML/CFT programs • Transactions through online and mobile platforms	
Investment Advisers	Medium	• Lapses in CDD and STR reporting • Reliance on offshore third parties, foreign customers, and providing offshore solutions	

Table 8: Securities' Products ML Vulnerability Exposure

Products	Vulnerability	Justification
Fixed Income Securities	Medium	• Trade in significant volumes compared to other products • The product is well structured in terms of interest payments, maturity period and terms of payment and is available to all types of clients, both resident and non-resident.
Equities	Medium	• High turnover in the equity market mainly due to the foreign investors, institutional players and high net worth individuals. • The clients can exit the market without detection. • The equities market is highly liquid, and shares are easily transferable between companies and individuals. • Additionally, the frequency of international transactions in the equity market is high.
Collective Investments Schemes (CIS)	Medium	• The product is sold to the public and is not restricted to any geographical location. • The licensed entities might be less likely to know their customers personally and it could offer a greater degree of anonymity. • The CIS products allow for flexibility to pay for investments via EFT or M-pesa. The arrangements are open ended allowing for flexible conditions of terminating contracts.
Online Foreign Exchange Trading and CFDs	Medium High	• The products are relatively complex as they are available in the form of contracts-for-difference and offered in a fast-moving market where price movements happen within very short timelines. • The products are available to all types of clients both resident and non-resident while the deposit feature in the product is available to both small and large clients and is thus prominent as both small and large amounts of money are transacted in this space.

		• The global nature and anonymity offered increases the ML vulnerability.
Private Wealth Management	Medium High	• Some of the arrangements are open ended, hence offering flexible conditions for termination of the contracts. • The high-net-worth investors (HNIs) have diverse and varied holdings to spread risk and as such they target offshore investments as well. • A significant proportion of their transactions are cross-border, and this increases the risk of ML. • Some of the HNIs investing in this product include non-Kenyan residents.

2.3 Insurance and Retirement Benefits Sector

The major investments products relating to retirement benefits industry are offered through the insurance industry, hence the two industries are heavily linked together. In the insurance sector, the reporting institutions under the purview of AML/CFT are the life insurance underwriters, life insurance brokers and agents.

The overall ML risk of the insurance and retirement benefits sector is ***Medium.*** The ML threat involving the sector as well as the vulnerability posed were both assessed as ***Medium***.

Table 9: ML Risks Manifestation within Insurance and Retirement Benefits

Risk Type	Description of Inherent Risk	Emerging Trends
Customer	*High-risk exposures via:* • PEPs and high net worth customers • Cash-intensive businesses • Non-resident persons • Beneficial ownership concealment • Incorrect client risk rating, incomplete CDD information	• Increasing use of fintechs in digital payments, hence increased risks on KYC/EDD validation. • Use of intermediaries to obscure source of funds and beneficial ownership. • Growth in web aggregators i.e. non-face-to-face purchase of life insurance
Product	• Life assurance allows flexibility to pay premium in instalments or to make lump sum payments making it vulnerable to abuse by high net worth individuals. • Endowment products with investment components and the level of cash activity is high. • Unit Link and Linked Investments: The products allow premiums to be paid as a single injection or regular payments over the period of the cover. There is possibility of camouflaging dirty transactions because of the	• Increased non-face-to-face purchases via online banking and mobile platforms. • Rising use of crypto-related transactions flowing into the insurance sector via mobile banking and USSD channels.

	nature of investments and the inherent risk appetite. • Individual retirement benefits schemes allow for cash transactions, foreign policy holders and anonymous use of individual pension plans.	
Delivery Channel	• The bulk of life assurance products are distributed through agents, some of whom represent several insurance companies, causing confusion regarding the responsible entity. • Automated and other non-face-to-face delivery channels easing placement and layering of funds via online banking and mobile banking	• Impersonation and identity fraud from non-face-to-face transactions • Use of intermediaries to structure payments
Geographic	• Insurance companies operating in jurisdictions with weak AML frameworks. • Receipt of premiums from Kenyans in the diaspora	Increased regional insurance company expansion high-risk jurisdictions such as Somalia and South Sudan
Partner Risk	Risks associated with intermediaries in the transactions	

Table 10: ML Threat Manifestation within Insurance

What	Who	How
• **Over-Insurance or Under-Insurance** • **Fake Claims.** • **Multiple Premium Payments**	• Life insurance companies • Banks • Policy Holders • Agents	• Unusual or excessive premium payments relative to the value of the asset insured. • Frequent policy changes (e.g., beneficiaries, amounts, or coverage types). • Complex or unusual claims that do not match the insured event. • Multiple policies for the same asset or person without a clear reason. • Large cash payments or third-party payments for premiums or claims. • Cross-border claims or payouts, particularly in jurisdictions with weaker financial regulations. • Inconsistent documentation or discrepancies in underwriting information.

Table 11: ML Vulnerability Exposures for Insurance Sector

Category	Rating	Justification	Mitigation Measures
Life Insurers	Medium High	• Flexibility to pay premium in instalments or to make lump sum payments. • High net worth individuals with high value policies. • Endowment products with investment components and the	• Customer due diligence (CDD) for high-risk customers and transactions. • Enhanced AML transaction monitoring systems. • Regular staff training on emerging risks.

		level of cash activity are high.	• Independent audits to ascertain level of compliance and gaps to be addressed. • Best effort standardization of AML practices across all business channels, regardless of jurisdiction. • Enhanced risk assessments covering diverse transaction channels and geographic risk. • Capacity building for AML/CFT compliance. • Enhanced KYC/CDD procedures and supporting systems. • Increased regulatory supervision and audit assessments.
Agents/ Bancassurance/ Brokers	Medium High	• Distribution of Life Assurance and Unit Linked or Investment Insurance Products which present risks as detailed above. • Limited knowledge of AML risks of intermediaries	

2.4 Mobile Network Operators (MNOs) / Payment Service Providers

Money or value transfer services (MVTS) are mainly provided by payment service providers (PSPs). PSPs are licensed (authorized) by the CBK under the National Payment System Act and National Payment System Regulations, 2014. The main PSPs are mobile money service providers (MMSPs). They mainly provide mobile money services through agents who are spread throughout the country. This brings convenience and ease of access to mobile financial services, and has immensely contributed in promoting financial inclusion in Kenya. The main services are cash transfers, cash withdrawals, payment for goods and services and mobile banking services. Mobile Network Operators (MNOs) offer mobile money transfer services through the use of mobile devices for financial transactions. MNO's transactions are largely domestic and but are exposed to cross-border threats.

The overall ML risk for MNOs is ***Medium.*** The ML threat is rated ***Medium Low.*** Inherent vulnerability is rated ***High*** while the mitigating controls are assessed as ***Medium.***

Table 12: ML Risks within MNOs

Risk type	Description
Nature, Size and Complexity of Business	The number of subscribers and value of monthly transactions, mobile money payments plays a significant role in facilitating payments in the economy.
Customers	MNOs onboard a wide range of customers i.e. natural and legal persons and resident and non-residents. Customers can have more than one wallet.
Product and Services	• The value limits and transaction limits can be misused. • API integration to terminate cross-border transactions • ability to hold multiple wallets, wallets for legal persons have no limits • non-face-to-face access

	• Ability to integrate with multiple systems
Delivery Channel	All the products can be used through agents. Agents are likely to increase ML/TF risks in a product because they are likely not to conduct KYC/CDD as rigorously as the principal would. Integration with other service providers also poses vulnerability.
Geographic risk	Cross-border payments may be used to further crime and hinder law enforcement investigators and may mask the purpose of the transfer.

Table 13: ML Threat Manifestation within MNOs

What	Who	How	Where
Fraud and Forgery	Criminals and Fraudsters	• Identity theft • SIM swap fraud, • False promotions • Phishing and social engineering scams • Provider impersonation by fraudsters • Erroneous transfers to unintended recipients. • Online scams	Online and social media platforms
Investment /Ponzi / Pyramid Schemes	Criminals and Fraudsters	'Get-rich-quick' investment schemes	Through social media platforms

2.5 Digital Credit Providers (DCPs)

Digital credit provider (DCP) is a financial institution, that is, a person or business entity that provides credit services (loans) through the internet, mobile services, computer devices, applications or other digital systems as may be prescribed by Central Bank of Kenya (CBK). They are regulated under the CBK Act. The legal framework came into force in December 2023. This was informed by the need to address certain concerns relating to consumer protection, data protection and predatory credit pricing.

DCPs mainly provide unsecured short-term loans to consumers and are prohibited from taking deposits. Most of the consumers are those that are unable to access credit facilities from commercial banks and microfinance banks. The loans are for personal use, with some loans used for small businesses.

The overall ML risk for the subsector is ***Medium Low.*** The ML threat is rated ***Medium Low***, inherent vulnerability ***Medium,*** while the mitigating controls are assessed as ***Low.*** The key ML risk areas for DCPs relate to source of funds (domestic and cross border), which high potential for layering. Other risk areas touch on beneficial ownership issues and abuse by PEPs.

Table 14: Nature of ML Risks within DCPs

Risk Type	Description of Inherent Risk
Customers	Have predominantly domestic customer base. Demand for loans is by people with low incomes, cash flow problems, and those offsetting existing debt
Products and services	DCPs offer short-term loans for personal and business use. There exist risks of illicit funds being used for early or scheduled repayment of loans. They offer non-face-to-face transactions and services and as such pose some risks
Delivery channels	Non face-to-face application for, and delivery of, products/services 'Ease and speed' approach offering same-day loan approval and payouts, as well as online and phone applications for loans. High speed of transactions is also a risk.
Geographical	Foreign investors of DCPs may pose ML risk when the source of funds is not properly verified.

Table 15: ML Threats Manifestation for DCPs

What	Who	How	Where/When
Proceeds of crime used as capital for DCP business	Shareholders of DCPs PEPs	• Injection of proceeds of crime as capital of a DCP • Hidden beneficial owners of foreign capital of DCPs	At the time of injection of capital e.g. at licensing stage and in the course of business
Proceeds of crime used to repay loans	Customers/borrowers	• Early/scheduled repayment of loans • Cash repayment of loans	At the time of repayment of loan

2.6 Forex Bureaus

Foreign exchange bureaus in Kenya deal purely with spot exchange of foreign currencies primarily offering spot sales and purchases of foreign exchange. They mainly comprise of small, family-oriented businesses employing anywhere between three to ten employees.

The overall ML risk for the subsector is ***Medium High.*** The ML threat is rated ***Medium***, while the inherent vulnerability is rated ***Medium High.*** The mitigating controls are assessed as ***Low.*** The key high ML risk areas are high value transactions at border or entry points, transactions by foreigners, increase of walk-in customers and identity fraud.

Table 16: Nature of ML Risks within Forex Bureaus

Risk Type	Description of Inherent Risk
Customer Risk	• Low value transactions that can be structured • Challenges in verifying information on foreign PEPs
Product Risk	• Proceeds can be exchanged into different currencies and once exchanged the original source is difficult to trace. • FXBs can be used to exchange smaller denominations into larger foreign currency denominations, making it easy to conceal or transport funds
Geographic Risk	• High value transactions at border entry points • Acting as agents of MRPs for cross-border transactions • Risk from serving non-residents and tourists

Table 17: ML Threat Manifestation within Forex Bureaus

What	Who	How	Where
High cash value transactions at entry points	PEPs	Cash transactions	Over the counter
Many small value cash transactions by walk-in customers	Individuals working together with high net worth individuals	Cash Transactions	Over the counter

Forex bureaus have however adopted several measures to mitigate the identified ML risks, including:

i. Proper customer due diligence and enhanced due diligence (EDD) for customers and transactions;
ii. Establishing and implementing AML/CFT frameworks based of fair internal control mechanisms;
iii. Enhanced AML/CFT transaction monitoring systems;
iv. Regular staff training on AML/CFT issues;
v. Reliance on independent audits to ascertain level of compliance and gaps to be addressed; and
vi. Enhanced risk assessments covering diverse transaction channels and geographic risk.

2.7 Money Remittance Providers (MRPs)

A money remittance provider is a business or organization that receives instructions from customers to transfer money or value across borders to a recipient.

The overall ML risk for MRPs is ***Medium***. The ML threat is also assessed as ***Medium.*** The overall ML vulnerability for MRPs is rated ***High***, while the mitigating controls are assessed as ***Medium***.

Table 18: Nature of ML Risks within MRPs

Risk Type	Description of Inherent Risk	Mitigation measures
Customer	• High volume of casual customers where long-term business relationships are not maintained • Misuse of vulnerable groups like refugees and migrants to remit funds • Companies, Non-Governmental Organizations (NGOs) and other legal entities may obscure beneficial ownership, the source of funds, or the purpose of transactions.	• Implementation of adequate AML/CFT controls to dissuade criminals from abusing the sub-sector. • Authentication of the sender and beneficiaries of funds.
Product	• Cross-border remittances pose significant risks • The transactions are spot transactions which attract limited due diligence procedure	
Delivery channels	• Risks arising from non-face-to-face delivery • Speeds of transactions are high	
Geographic	• Remittances to and from jurisdictions with weak AML/CFT frameworks • The international movement of funds through multiple jurisdictions obscure the ultimate beneficial owners.	

Table 19: ML Threat Manifestation within MRPs

What	Who	How	Where
Structuring/Smurfing	Customers	• Multiple transfers just below the reporting threshold. • The same or similar recipients or destinations receiving small amounts of money frequently.	• Over the counter • Online
Cross-Border Transactions to High-Risk Countries	Customers	• Transfers to countries known for financial secrecy, corruption, or weak AML controls. • Unusual volume or frequency of transactions to/ from high-risk jurisdictions.	

2.8 Sacco Sector

Saccos that are supervised by Saccos Society Regulatory Authority (SASRA) are grouped into two broad categories; deposit-taking saccos and non-withdrawable deposit taking saccos. Deposit taking Saccos are authorized to take deposits and thus offer withdrawable savings accounts services similar to those offered by banks. They also offer front office services where members can walk into their banking halls as they withdraw or deposit money into their accounts. Non-deposit taking Saccos are licensed by the Cooperative Societies Act and supervised by SASRA (i*f the non-withdrawable deposits are equivalent to or exceeds Ksh.100 million from January 2021*) or Commissioner of Cooperatives (*if the non-withdrawable deposits are below KSh.100* *million*). They are not authorized to take withdrawable deposits or present themselves to the public as deposit-taking entities.

The overall ML risk for the subsector is ***Medium.*** The ML threat is rated ***Medium***. Inherent vulnerability is rated ***Medium High,*** while the mitigating controls are assessed as ***Low.***

The vulnerability of the sector is attributed to low coverage of the requisite AML/CFT preventive measures, including customer due diligence, enhanced due diligence on high-risk countries and PEPs, suspicious transaction reporting, record keeping and internal controls.

2.9 Designated Non-Financial Businesses and Professions (DNFBPs)

Designated Non-Financial Businesses and Professions (DNFBPs) in Kenya are: casinos (*including internet casinos*); real estate agencies; dealers in precious metals; dealers in precious stones; accountants; trust and company service providers(TCSPs); advocates, notaries and other independent legal professionals.

As summarized in Table 20, the ML risks ratings within DNFBPs vary according to the specific sector. Lawyers and real estate agency sector are rated as having ***High*** ML risks, while accountants and TCSPs have ***Medium High*** ML risk rating. Casinos and DPMS are rated as having ***Medium*** ML risk.

Table 20: ML Risks within DNFBPs Sector

Sector	ML Risk	Risk Manifestation (Threats)	Emerging Trends	Vulnerability Exposures	Mitigation Measures
Accountants	Medium (Threats- *Medium Low;* Vulnerability- *Medium High)*	-Accounting malpractices (use of falsified accounts) -Tax-related crimes -Professional misconduct or negligence by failure to detect an accounting malpractice by executives of companies	-Criminals may maintain shadow accounting systems or falsified accounts to record and hide the source of illicit funds and seek the services of accountants to provide a sense of legitimacy to such transactions.	-Low level of AML/CFT awareness and knowledge -Low level of implementation of AML/CFT requirements	-Development and implementation of AML/CFT framework by accountants -Training and awareness creation of accountants on AML/CFT obligations
Certified Secretaries	Medium (Threats- *Medium Low;* Vulnerability- *Medium High)*	-Creating trusts or companies with the intention to facilitate money laundering. -Creating complex structures to hide BO information distancing the criminals from ill-gotten proceeds -Creation of shell or shelf entities with ownership through nominees or other proxies -Creating trust or company structures for tax evasion purposes	-Foreign companies using youths to create front companies or false identities to incorporate companies locally and these companies end up being misused for money laundering purposes	-Low level of AML/CFT awareness and knowledge of certified secretaries -Low level of implementation of AML/CFT requirements -Low level of supervision by ICS	-Training and awareness creation of certified secretaries on AML/CFT obligations. -Development and Implementation of AML/CFT requirements by certified secretaries -Strengthened AML/ CFT supervision
Casinos	Medium high (Threat - *Medium;* Vulnerability – *High)*	-Tax evasion - failing to declare earned income by filing nil tax returns for both the companies and their directors -Manipulation of stakes, payouts, & gross gaming revenues, resulting in under-declaration of taxable income -Fraudsters deposit funds in their gambling accounts through either prepaid cards, cheques, credit and debit cards,	Foreign nationals buying in and cashing out funds in casinos with little or no gambling activity.	-High cash intensity of transactions -Anonymity and the ability to transact large amounts of money (online platforms) -Low level of AML/CFT awareness	-Increase training and awareness creation on AML/CFT obligations of casinos -Implementation of AML/CFT requirements by casinos

		or crypto, then withdrawing. -Illegal online gaming platforms and obtaining funds from the public by false pretenses		and knowledge of casino sector	
Legal profession	High *(Threat - Medium High; Vulnerability – High)*	-Fraud & forgeries through conspiracy to defraud -Theft by agent in case of escrow accounts -Non-remittance of full amounts of the consideration/purchase price and extortion. -Tax related offences- under declaration and non-declaration of income -The creation of complex legal structures that can provide anonymity -Preparation of fraudulent or false transaction documents -Abuse of client accounts	-Receipt of funds from foreign jurisdictions, with the aim to disburse to non-existent companies. -Commingling of proceeds from illegal sources with client money in advocate-client accounts -Withdrawal of cash from client accounts without a clear purpose	-Low level of AML/CFT awareness and knowledge -Inadequate capacity of the supervisor (LSK) -Low level of AML/CFT supervision of lawyers	-Training and awareness creation on AML/CFT obligations of lawyers -Implementation of AML/CFT frameworks by lawyers -Strengthened AML/CFT supervision of the sector
Real estate	High (Threat *– High;* Vulnerability *– High)*	-Corruption (abuse of office and conflict of interest), whereby the proceeds are laundered or invested in the real estate especially by PEPs. -Tax-related offenses involving aspects of under-declaration or non-declaration of income for tax purposes -Land fraud related crimes such as conspiracy to defraud, forcible detainer, forgery of titles to land, obtaining registration of land by false pretense, abuse of office, conspiracy to defeat justice and intermeddling with property of the deceased.	-Proceeds from gold scams being channeled through the real estate sector. -Involvement of intermediaries in transactions within the real estate sector with the intention of concealing BO and source of funds. -Individuals coming together to develop properties or apartments as joint ventures which sometimes the source of	-Cash-based nature of the sector's business without scrutiny on source of funds -Weak legal framework for market entry with many unregistered agents -Low level of AML/CFT awareness and knowledge -High value of transactions -Non-implementation of AML/CFT preventive measures	-Training and awareness creation for real estate agents on AML/CFT obligations. -Implementation of AML/CFT frameworks by real estate agents -Strengthened AML/CFT supervision of the sector

			funding cannot be verified		
Dealers in precious metals and stones	Medium (Threat – *Low;* Vulnerability- *High)*	-Fraud through gold scams perpetuated via obtaining by false pretense i.e. falsified documents, frauds and forgeries, impersonation, conspiracy to defraud and mineral theft. -Tax related offences where the taxpayer fails to declare income earned by filing nil tax returns for both the company and its directors	-Involvement advocates in gold scam transactions -Involvement of companies running logistic businesses. -Notable involvement of PEPs -Cross border flow of funds* -Opening of shell companies**	-High value of products traded -Poor CDD and EDD of customers -Extensive use of cash transactions -Trades with unlicensed persons -Weak AML/CFT regulation and supervision -Kenya's characteristic as a transit hub	-Training and sensitization of DPMS on AML/CFT obligations Implementation of AML/CFT frameworks by DPMS -Strengthened AML/CFT supervision of the sector

*Cross border flow of funds where victims are mainly foreign nationals. **Opening of shell companies where funds are received purportedly to support mineral exploration but are however moved through different accounts and subsequently withdrawn as cash

2.10 Legal Persons and Legal Arrangements ML Risks

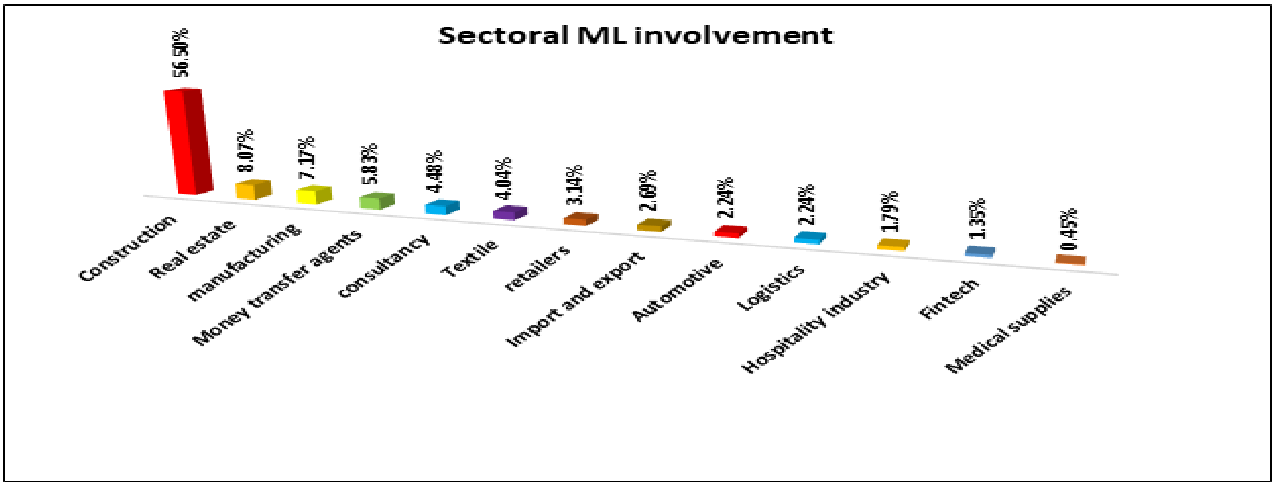
The risk assessment covers legal persons and arrangements in Kenya. For the purposes of the assessment, legal persons have been identified to include, Private Limited Companies (PVT), Public Limited Companies (PLC), Companies Limited by Guarantee (CLG), Unlimited Companies, Foreign Companies, and Limited Liability Partnerships (LLPs). Regarding legal arrangements, the assessment only covered Trusts.

The overall ML risks for the legal persons and legal arrangements' sector is ***Medium***. The ML threats score for legal structures is ***Medium***. The threat manifests majorly through abuse by directors, beneficial owners, use of proxies and abuse of legal professional privilege. A number of legal structures have links with foreign jurisdictions are used as channels for moving funds globally. The overall vulnerability for legal structures is also rated ***Medium***.

2.10.1 Legal persons ML involvement within select sectors

Kenya has diverse sectors where legal structures being registered to operate. Figure 1 shows the prevalence of abuse of legal persons for ML in the different economic sectors in Kenya.

Figure 1: Legal Persons ML Involvement within Select Sectors



2.10.2 Entity risk

The assessment considered the risk associated with each entity type based on factors such as the number of entities, ease of formation, attractiveness for non-resident use, quality and accessibility of beneficial ownership information, cross-border risk exposure, and existence of incidences of ML, amongst other factors as summarized in Table 21.

Table 21: Legal Persons and Arrangements ML Risks Summary

Entity	Risk	Justification	ML threats	Mitigation Measures
Trusts	Medium	-Verification of information in relation to trusts is difficult since the records are manual. -There is also no collection of BO information. However, the reported cases were very low.	-Abuse by directors -Abuse of professional privilege	-Collection of accurate information, both basic and beneficial ownership information -Automation of registration process
Private Limited Companies	Medium	-No. of cases involving private limited companies constitute 98% of all suspected cases of abuse for ML in relation to legal structures. There is however collection of both basic and BO information for private limited companies.	-Abuse by directors. - Use of proxies -Abuse of legal professional privilege	-Collection of accurate information, both basic and beneficial ownership information. -Imposition of sanctions for non-compliant companies

Foreign Limited Companies	Medium low	-Cases of abuse of legal structures for ML. -Companies with foreign links, including jurisdictions considered to be of high risk.	-Abuse by directors -Abuse of legal professional privilege	-Collection of accurate information, both basic and beneficial ownership information. -Imposition of sanctions for non-compliant companies
Public Limited Companies	Medium low	-Cost of running the companies is higher compared to other types and as such unattractive	-Abuse by directors -Abuse of legal professional privilege	-Collection of accurate information, both basic and beneficial ownership information. -Imposition of sanctions for non-compliant companies
Limited Liability Partnerships	Medium low	-LLPs have the most accurate and up to date information compared to all other legal structures.	-Abuse by partners and Abuse of professional privilege	-Collection of accurate information, both basic and beneficial ownership information. -Imposition of sanctions for non-compliant companies
Companies Limited by Guarantee	Medium low	-Low level of exposure to jurisdiction of high risk.	-Abuse by directors	-Collection of accurate information, both basic and beneficial ownership information. -Imposition of sanctions for non-compliant companies
Unlimited Companies	Low	-The number of companies are very low and no suspected cases reported	-No available abuse detected	

2.11 VA/VASPs ML Risks

Virtual Asset Service Providers (VASPs) are defined as "any business that conducts one or more of the following activities or operations for or on behalf of another natural or legal person—

i. Exchange between virtual assets and fiat currencies;
ii. Exchange between one or more forms of virtual assets;
iii. Transfer of virtual assets;
iv. Safekeeping and/or administration of virtual assets or instruments enabling control over virtual assets; and
v. Participation in and provision of financial services related to an issuer's offer and/or sale of a virtual asset.

Virtual Assets (VAs) are defined as a digital representation of value that can be digitally traded, or transferred, and can be used for payment or investment purposes. VAs do not include digital representations of fiat currencies, securities and other financial assets that are already covered elsewhere in the FATF Recommendations.

The assessment established that four major types of VASPs channels operate in the Kenyan ecosystem. The types of VASPs identified are:

i. Virtual asset wallet providers
ii. Virtual asset exchanges
iii. Virtual asset broking/Payment processing
iv. Virtual asset investment providers.

The overall ML Risks facing VAs and VASPs in Kenya is assessed as ***Medium***. The threat posed by VAs is assessed as ***Medium,*** while the inherent vulnerability is rated ***High.*** The mitigation measures are rated ***Low***.

VASPs services and channels that pose high risks in Kenya are:

i. Cold wallet providers
ii. VASPs offering peer-to-peer (P2P) services
iii. VASPs offering conversion services including virtual-to-fiat and virtual-to-virtual.

Table 22: ML Risks within VAs and VASPs

Risk Type	Description of Inherent Risk
Customer risk	-Non-face-to-face onboarding of clients -Some companies operating as VASPs failed to disclose their true nature of business to the Business Registration Service (BRS) and financial institutions
Product risk	-Pseudonymity and anonymity features, with some VAs having anonymity-enhanced features which hide the identity behind a wallet address -VASPs lack a centralized oversight as they often operate outside the traditional financial system -Complex traceability for anonymity-enhanced VAs
Geographic	-Cross-border transfer and portability with a global reach
Delivery channels	-High speed of transactions with near instant transfers -Risks associated with peer to peer transactions -Use of "mixers" or "tumblers" to obscure the origin of virtual assets. These services combine various transactions from multiple users, making it harder to trace the original source of funds -Existence of decentralized exchanges that provide peer to peer transferability with no regulatory controls

Table 23: Manifestation of ML Threats within VAs and VASPs

What	Who	How	Where
Initial Coin Offering (ICO)	ICO issuer to the general public.	-Fake coin offerings -Irregularities in the information being offered to the public, which results in fraud risks	VASP Exchange Platform.

Fraudulent investment through peer to peer transactions	ICO issuer to the general public.	-Irregularities in the collection of investor funds -Defrauding investors who believe are participating in an investment opportunity related to a virtual currency	VASP Exchange Platform.
Crypto mining ponzi schemes	Virtual Asset miner to the general public	Use of a VASP platforms to defraud the public through promise of high returns	VASPs platform

Table 24: ML Vulnerability Exposure for VAs/VASPs

VASP	Type of service	Risk Level	Reason for Risk Level	Mitigation measures
Virtual Asset Wallet Providers	Custodial and non-custodial services (cold and hot wallet providers)	High	-Cold wallets present risks especially when used to store anonymity enhanced VAs. -Lack of traceability and portability especially for cold wallets -Lack of AML/CFT legal framework in Kenya	Development and implementation of comprehensive legal and AML/CFT frameworks
Virtual Asset Exchanges	-Transfer Services -(P2P) -Conversion services	High	-VAs by nature possess cross-border features with a global reach, making them attractive to criminals. -P2P transactions -Lack of AML/CFT legal framework in Kenya	

2.12 Tax Crimes ML Risks

The Kenyan tax system is a self-assessment system where a taxpayer assesses himself or herself and makes payments to the revenue authority. However, some individuals or business entities abuse the trust bestowed on them by the law by under declaring or failing to declare their income, hence evading payment of taxes.

The tax crimes ML risk in Kenya is assessed as ***Medium***. The ML threat from tax crimes is rated ***Medium High***, while the overall vulnerability to tax crimes is assessed as ***Medium Low*** due to the strong control system in place.

The assessment focused on the major schemes prevalent in Kenya. These schemes are divided into tax crime schemes and ML schemes as highlighted below:

2.12.1 Common tax related crimes in Kenya

The main types of tax crimes identified in the country are described below:

i. VAT carrousel fraud/Missing trader schemes

Refers to establishment of shell companies that are not trading but issue tax invoices, to enable trading companies claim expenses, in order to reduce tax liability. This typology contributed to 70% of cases reviewed.

ii. ***Use of power of attorney/nominees/directorships to hide the beneficial owner of a legal structure***

This takes place through layering, direct ownership chains, as well as professional intermediaries and third parties exercising control on behalf of the beneficial owners. This typology contributed to 20% of cases reviewed.

iii. ***Multi-jurisdiction structuring***

Refers to creation of financial structures/legal entities across multiple jurisdictions to hide financial transactions and evade payment of taxes. This typology contributed to 6% of cases reviewed.

iv. ***Recording income as loans or other non-taxable income***

Residents make income, which should be declared for tax purposes, but transfer the income to a third party who transfers back the money as a loan to the resident. The resident declares the income as a loan from the third party hence evading payment of taxes. This typology contributed to 2% of cases reviewed

v. ***Abuse of charitable organizations***

This occurs where residents register charitable organizations and use them to hide taxable income. This typology contributed to 1% of cases reviewed.

vi. ***Electronic sales suppression***

This involves operating parallel electronic tax invoicing systems and declaring only one. This typology contributed to 0.4% of cases reviewed.

vii. ***Income in nominee name; hidden bank accounts***

A beneficial owner hides assets by employing a nominee to make purchases and hold assets. Nominee here is a mere custodian who hands over assets to the actual owner. This typology contributed to 0.2% of cases reviewed.

viii. ***Offshore asset concealment***

Residents repatriate locally acquired income and assets to offshore jurisdictions, without declaring the same locally. This typology contributed to 0.2% of cases reviewed.

ix. Unreported bank accounts in non-cooperative countries

Residents open bank accounts in offshore jurisdictions and do not declare the accounts. This typology contributed to 0.2% of cases reviewed.

2.12.2 Tax crimes related ML typologies

The main tax crimes-related money laundering typologies identified are described below:

i. Use of power of attorney and nominees

This typology takes place through layering, direct ownership chains, as well as professional intermediaries and third parties exercising control on behalf of the beneficial owners. The typology contributed to 52% of cases reviewed.

ii. Trade based money laundering

This involves the use of trade transactions in an attempt to legitimize the origins of proceeds of crime. The scheme contributed about 34% of all reviewed cases.

iii. Purchase of high-value assets

This involves acquisition of high value assets for purposes of hiding of proceeds of crime. The number of cases reviewed are 10% of the total reviewed cases.

iv. Abuse of trust and company service providers

The use of trust and company service providers wittingly or unwittingly, in the conduct of money laundering activities, contributed to 4% of the cases reviewed.

v. Wire transfers

A wire transfer is an electronic transfer of funds via a network that is administered by banks and transfer service agencies around the world. Residents use wire transfers to move illicit cash from one jurisdiction to another. Some financial institutions collude with unscrupulous residents to transfer huge sums of money from one tax jurisdiction to another without the knowledge of regulatory agencies. This scheme contributed to 1% of the cases reviewed.

APPENDIX: ML RELATED CASE TYPOLOGIES

1. Foreign Predicates

Case example 1: Repatriating recovered proceeds to Tanzania

In July 2019, Kenyan Government repatriated gold worth about KES 168 million and more than KES 15 million (in cash) to the Tanzanian Authorities. Earlier in March 2018, LEAs in Kenya and Tanzania collaborated to intercept and recover the said items from a suspect who was arrested at the Jomo Kenyatta International Airport. Investigations revealed that the recovered gold was part of a heist from Tanzania's National Bank of Commerce (NBC) in Moshi, alongside more than KES 180 million cash in US Dollars, Kenyan shillings and Tanzanian shillings. The prime suspect, P.A.N, was also later arrested in Kenya and repatriated to Tanzania for prosecution in January 2019.

During the handover of the recovered items, the President of Kenya, Mr. Uhuru Kenyatta, said the following to Tanzanian President Mr. John Pombe Magufuli, on phone, "*My brother, I say we continue working together and Kenya and Tanzania has no borders as we agreed. We should help one another to fight corruption and to return money stolen from our people so that we build roads and connect our people to electricit*y."

Case example 2: Chickengate scandal

This was a case involving bribery of English nationals in the procurement of contracts for supply of ballot papers. It started with the payout of millions of shillings in what the Courts in the United Kingdom described as bribes to Kenyan election officials by a British company. The illicit deals were carried out under the code name 'chicken' essentially to award lucrative printing contracts. The UK through National Crime Agency conducted investigations resulting in two Englishmen being tried and convicted under the English Bribery Act and confiscation orders made. The Company was also found guilty and fined £2.2 million.

Kenya recovered KES 52 million from the "Chickengate" scandal, which the Ethics and Anti- Corruption Commission (EACC) confirmed was part of proceedings to repatriate assets of the London-based security printer. The repatriated funds were later used to buy seven (7) ambulances that were distributed to vulnerable areas through the Ministry of Health.

Case example 3*: *Framework for the return of assets from crime and corruption in Kenya (FRACCK)

The Framework for the return of assets from crime and corruption in Kenya (FRACCK) was signed by the Government of the Republic of Kenya, the Swiss Federal Council, the Government of the United Kingdom and the Government of Jersey, to provide the framework for effective and expeditious repatriation of proceeds of crime and corruption that have been illegally transferred in other jurisdictions. In 2022, the Government of Jersey and Kenya reached an agreement for repatriation of £3 million to support Kenya's Government's response to the COVID-19 pandemic. The funds were confiscated by Jersey authorities in 2016, following the successful conviction of Windward Trading Ltd. for money laundering offences.

Case example 4: Multi-jurisdiction structuring of funds and Trade-based Money Laundering

The scheme involved an established company in Kenya (subject company) owned by a shell company registered in a tax haven outside Kenya, which is further owned by another company based in a third country. The shell company registered in the tax haven country advanced loans to the Kenyan company at an agreed interest rate. The Kenyan company has a sister company in Kenya involved in manufacturing. The sister company sold its products to the subject Kenyan company which was involved in distribution of the products to the market.

The sister company through its employees registered other companies in Kenya and opened bank accounts in the names of those other companies. The registered owners of these companies were Kenyans but the account signatories were employees of the sister company. These other companies did not trade but had huge sums of money deposited in their bank accounts held in various banks in Kenya. The money was deposited in both cash and cheques. The cash deposits were made by employees of the subject taxpayer. The subject company requested some customers to write cheques in favour of the associated local companies that were then deposited in their accounts. The money was then transferred to the dollar denominated accounts held by the same companies before being wired to the holding company in the third country purportedly to purchase stock.

The subject company did not declare income corresponding with diverted funds. Examination of customs database indicated that these companies never imported any goods. Therefore, the transfer of cash to the holding company could not have been for purchase of stock. In the end, the products manufactured by the sister company in Kenya was sold to the subject company which subsequently sold the same without reporting the sales for tax purposes and transferred the cash to the holding company outside Kenya to conceal the non-declaration.

The tax crime typology deployed in this case, include creation of multi-jurisdiction structuring of funds, local structuring using hidden accounts in the name of associated entities, TBML, using employees to register companies to hide beneficial ownership as well as reporting income as related party foreign loans.

Case example 5: Foreign structuring through legal structures
Company Y registered in country M owned 100% shareholding of company Z also registered in the same country M. Z owns 100% shareholding of company ZZ registered in Kenya. Y disposed 30% of its shareholding in Z to company A, registered in country F at KES 5.2 billion. Based on the information shared by the tax administration in country M, it was established that the directors of Y are also the directors of ZZ. The directors are resident in Kenya and exercise control of the affairs and business of Y from Kenya. Consequently, Y was obligated under section 15 of the Tax Procedures Act, 2015 to appoint a tax representative in Kenya to file returns and pay taxes in Kenya. By failing to do so, KRA appointed ZZ as Y's tax representative and issued it with tax assessment of KES 1.8 billion. The whole arrangement was designed to defeat the tax system. Y disputed the assessment and subsequently appealed the KRA's objection decision to the Tax Appeals Tribunal (TAT). TAT issued a judgment on the matter in August 2023, dismissing the appeal in favour of KRA.

The typology used in this case was multi-jurisdiction structuring where resident individuals used legal structures registered in other jurisdictions to conceal disposal of part of the shareholding in their local company to another entity registered in a different jurisdiction and failed to pay Capital Gains Tax arising from the transaction.

Case example 6: Foreign structuring through legal arrangements
X, which is registered in Kenya as a limited liability partnership, purchased about 452 million shares in B holdings limited, resident in Kenya from a non-resident entity registered in country M. It later sold off the shares in two transactions realizing some gains from the overall transaction. The partners of X did not declare the profit in their individual income tax returns. According to section 3 of the Income Tax Act, a partnership is not a taxable person hence the requirement for partners to declare partnership profits in the profit sharing ratios and pay the corresponding taxes. X has two partners, an individual and an incorporated entity in company M. This income was brought to charge on both persons as business income since the purpose for the formation of the partnership was to invest funds provided by partners.
The KRA investigated the matter and obtained information and evidence from country M, regarding the legal ownership, BO and bank information, to finalize the case. An assessment amounting to KES 1.575 billion was issued to the partners for taxes not paid. This typology concerns a multi-jurisdiction structuring involving Kenya and country M, as well as the use of non-taxable special purpose vehicles, that is limited liability partnerships, to execute the transactions and evade taxation.

2. Banking Sector

Case example 7*:*
Investigations were guided by a dissemination from the Centre that led to the arrest of three suspects for Acquisition of Proceeds of Crime Contrary to Section 4(a) as read with Section 16(1) (a) of the POCAMLA. The accused persons registered 19 mobile accounts using several ID cards belonging to unsuspecting individuals and jointly received KES 37,821,548 from international money transfer. They eventually withdrew the same through two AB till numbers, AG Bank, AF Bank, AA Bank and AS Bank. The mater is still ongoing in Court.

3. Money Value Transfer Services (Mobile Money)

Case example 8: Abuse of MVTS
Investigations were guided by a dissemination from FRC which led to the arrest of one suspect by the name BD. He was charged with the offence of acquisition of proceeds of crime contrary to Section 4(a) as read with Section 16(1) (a) of the POCAMLA. Investigations revealed that the accused person collected several ID cards from his relatives located within BXX region in Kenya and fraudulently used them to register sim cards which he eventually used to receive money from Country BG. 10 sim cards were used to receive a total of KES 11,293,474, and withdrawn through 41 BY till numbers. The matter is still ongoing in Court.

Case example 9:
Investigations were guided by a dissemination from FRC which led to the arrest of two suspects CMM and CXK. The accused persons were charged with the offence of Acquisition of Proceeds of Crime Contrary to Section 4(a) as read with Section 16(1) (a) of the Proceeds of Crime and Anti-Money Laundering Act. CMM received a total of KES 8,794,189 through two CG accounts numbers 07xxxxxx30 and 07xxxxxx04. The said amounts were later withdrawn using two CY till numbers, all registered under CW Ltd. CXK received a total of KES 1,462,314 using two CG accounts 07xxxxxx91 and 07xxxxxx29 and later withdrew through CY till number registered under CZ Ltd. The matter was heard and the suspects were convicted and fined.

4. Money Remittance Providers

Case example 10:
Two suspects were charged with the offence of acquisition of proceeds of crime contrary to section 4(a) as read with section 16(1) (a) of POCAMLA. Investigations revealed that both accused persons were ABC MMSP till operators, agents and mobile phone subscribers. They registered several telephone numbers using their ID cards and other ID cards belonging to unsuspecting individuals. The accused persons fraudulently used the above numbers to register MMSP accounts which eventually received money from HYD, MNP Money and International Money Transfer from Country GX.

Suspect one received a total of KES 13,482,751 through ABC MMSP telephone numbers which he eventually withdrew locally through a till number. Suspect two received a total of KES 18,794,307 through several MMSP accounts. He eventually withdrew cash through the several till numbers. Apart from the till numbers, HGT Bank and BTD Bank accounts were used to transfer money from the above till numbers and eventual withdraws. The accused persons were convicted and fined.

Case example 11:
Investigations were guided by an intelligence report from FRC which led to the arrest of two accused persons who were refugees at BB Camp. They were charged with the offence of Acquisition of proceeds of crime contrary to Section 4(a) as read with Section 16(1) (a) of the POCAMLA. Investigations revealed that both accused persons received money through GHB International money transfer, BGS money transfer and FTR rated money transfer and international Money transfers from South Africa.

The 1st accused person, through his phone number received a total of KES 1,486,039 from unidentified persons in country WW while the 2nd accused person received KES 487,804 through his phone number. Further investigations revealed that the 2nd accused person, jointly with AX, a suspect still at large, received KES 3,599,000 through KGT Bank account number. The suspects were convicted and fined.